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Provision of September 14, 2023*

*The provision has been challenged

Register of provisions

n. 403 of September 14, 2023

THE GUARANTOR FOR THE PROTECTION OF PERSONAL DATA

IN the meeting held today, attended by

Prof. Ginevra Cerrina Feroni, Vice President,

Dr. Agostino Ghiglia and Attorney Guido Scorza,

members, and Dr. Claudio Filippi, Deputy

Secretary General;

HAVING REGARD TO Regulation (EU) 2016/679 of the European

Parliament and of the Council, of April 27, 2016 (hereinafter, "Regulation");

HAVING REGARD TO the Code regarding the protection of personal data, containing provisions for the adaptation of the national legal system to Regulation (EU) 2016/679 (Legislative Decree of June 30, 2003, n. 196, as amended by Legislative Decree of August 10, 2018, n. 101, hereinafter "Code");

HAVING REGARD TO the complaint filed pursuant to Article 77 of the Regulation by Mr. XX, XX, XX, and XX against Shardana Working Soc. Coop. a r.l.;

HAVING EXAMINED the documentation on file;

HAVING REGARD TO the observations made by the Secretary General pursuant to Article 15 of the Guarantor's regulation n. 1/2000;

REPORTING Prof. Ginevra Cerrina Feroni;

WHEREAS

1. The complaint against the company and the investigative activity.

On May 28, 2020, Mr. XX, XX, XX, and XX filed a complaint against Shardana Working Soc. Coop. a r.l. (hereinafter, the Company), which was finally regularized on September 23, 2020, alleging presumed violations of the Regulation.

Following a conciliation before the Court of Milan, Mr. XX withdrew the complaint filed with the Guarantor; therefore, the complaint, exclusively concerning the issues related to Mr. XX, was archived. In particular, the complaint alleged the impossibility of fully exercising the right of access under Article 15 of the Regulation regarding the "processing of personal data and [the] information used to process mileage reimbursements and hourly monthly wages as well as the logic of processing" by the Company and the "data concerning the [complainants] as well as the authorization documents in [...] possession [of the Company] with which information on data processing and the terminal is formulated."

This was also following a request to exercise rights dated November 22, 2019, concerning Mr. XX and XX, and January 23, 2020, regarding Mr. XX, given the deemed partial response that the Company would have provided on December 3, 2019, concerning Mr. XX and on March 25, 2020, regarding Mr. XX.

On February 11, 2021, following an invitation to adhere, the Company stated that:

"with regard to the purposes, duration, methods of storage, and data processing processes [...], it is noted that the Company has already provided extensive feedback, through communications dated 3.12.2019 and 25.03.2020 [...], in which it forwarded to the complainants' lawyer: the Information pursuant to Article 13 GDPR duly signed by the [complainants]; the Regulation concerning the processing and the security standards to be observed in the use of electronic and non-electronic tools; the Consent Declarations for processing duly signed; the Indication of the data used, with the relevant storage period, as well as the criteria for justifying its use; the Indication of the data controller" (see note 11.2.2021, cited, p. 1, 2);

"it was also specified the methods and tools of satellite geolocation (carried out through devices - smartphones - mobile telephony: models Samsung Galaxy Xcover2, Xcover3, Galaxy 7, with Android operating systems, equipped with GPS satellite localization systems, assigned to employees as work

tools). The Company highlighted that geolocation is necessary to allow the operator to identify the route to be taken to reach the meters, since the terminal indicates where to carry out the readings. This *modus operandi* also allows for verifying the requests of the client, aimed at checking the exact location of the readings (in case of irregularities and/or anomalies in the readings). It was also clarified that satellite localization is activated and limited only at the moment of turning on the devices and is deactivated with the shutdown of the terminal in the possession of the operator to whom every activity and discretion regarding it is exclusively entrusted" (see cited note, p. 2);

"no control and/or monitoring has been carried out regarding the activities performed and/or the routes ("mileage") taken by the complainants" (see cited note, p. 2);

"Shardana, pursuant to Article 4 L. 300/70, submitted a specific request on June 16, 2017, to the then DTL of Como, requesting authorization for the installation and use of GPS satellite localization on terminals for the detection of meter readings. On July 27, 2017, the DTL communicated that no authorization was necessary, as the aforementioned satellite system is a necessary tool for the performance of the work" (see cited note, p. 2);

"in relation to the further [...] request to acquire 'the content of the personal file, including the mileage monitoring of the work performance, daily duration of geolocation, as well as all documents concerning the work performance in any way processed and stored,' it is only appropriate to note that Shardana has already sent all suitable documentation to the claimants" (see cited note, p. 3);

"the present proceeding before the Authority [was] (entirely instrumentally) initiated solely to 'support' and compensate for the evidentiary shortcomings of the claimants in the labor cases already pending before the Labor Section of the Court of Milan between the same parties, concerning the recognition of alleged claims for wage differences" (see cited note, p. 3);

"it is acknowledged that Shardana: - processes the data contained in the employee's file exclusively for purposes related to the employment relationship; - the processing of the data present in the personal file may, however, be carried out to assert or defend a right, even by a third party, in judicial proceedings, as well as in administrative proceedings; - the methods adopted for the processing of data are essentially automated and telematic in nature and are duly secured and, in any case, strictly comply with the principles of necessity, relevance, non-exceedance, and graduality; - the consultation and/or extraction of the information contained therein is ordered solely in cases where the processing is essential to continue the work activity or where it is necessary to exercise or defend a right in court; - the logic applied to the processing carried out with electronic tools (for geolocation purposes) is strictly related to the lawful purposes mentioned above; - in addition to the data controller, any subjects to whom the data may be communicated are exclusively those indicated in the information (already voluntarily provided to the claimants)" (see cited note, pp. 3, 4);

"the Company [...] makes itself (once again and as needed) available to provide a copy of the 'personal files' (within the limits and compatibly with what is actually in its possession), which may be made available to the interested parties for any further consultation" (see cited note, p. 4).

On October 13, 2021, the Company, following the invitation from the Department dated September 17, 2021, provided further clarifications stating that "the alleged willingness to provide a copy of the personal file has, moreover, been misrepresented by the Authority, as the Company clearly deduced that the consultation of the file could have occurred (and once again) with reference to the documentation already provided '(within the limits and compatibly with what is actually in its possession)'" (see note dated October 13, 2022, p. 3).

On September 22, 2022, following further requests from the Authority dated August 8, 2022, the Company also stated that:

- "the disputes concerning the positions of the [claimants] have been concluded with provisions issued by the ordinary judiciary, which has, among other things, ascertained the right of the same to the recognition of the requested wage differences, which is why, also with reference to such positions, any interest in continuing the present proceeding before the Authority has ceased, resulting in its archiving" (see note dated September 22, 2022, p. 2);

- "the arguments [of the Company] are confirmed by the same statements of the supplier company [...] of the Mercurio Application system and MDM application, which specified that: (i) the Mercurio App allows for the detection of meter readings; (ii) the same company provides maintenance and remote

assistance for the Mercurio application installed on Android smartphones (using the MDM Mobicontrol application); (iii) the Mercurio App stores the GPS coordinate detection only when the operator enters a reading (reading, release of card, detection of other notes), when the contracting company requests in the contract specifications the coordinates of the location where the detection is entered; (iv) the MDM Mobicontrol application allows the supplying company to provide remote assistance in case of malfunction; (v) in case of loss of the device, there is the possibility to monitor the position of the same at that moment (if it is functioning) for potential recovery of the device and possibly arrange for the deletion of the records of the readings and safeguard the data present on the device; (vi) no tracking of the possible movements of the smartphone provided to the operator is carried out" (see cited note, p. 2).

On October 10, 2022, the claimants submitted their counterarguments, which were also sent for information to the Company, in which they stated that:

- "the [work] activity of the claimants was managed remotely through a platform that indicated daily the meters to be 'read' and photograph, geolocating the position and the route in order also to proceed with a hourly quantification of the performance and the mileage reimbursement to which the claimants were entitled" (see note dated October 10, 2022, p. 1);
- "the work activity of the claimants was, therefore, always monitored, managed, and coordinated by the [Company] through the use of company servers to which a smartphone terminal equipped with a geolocation system was connected, allowing for the recording of reading interventions" (see cited note, pp. 1, 2);
- "the said geolocation system indicated to the...
of the alleged violations reported by the claimants, and the necessary measures have been taken to ensure compliance with the applicable regulations" (v. nota cit., p. 4);
- "the Company has always acted in good faith and has taken all necessary steps to comply with the law" (v. nota cit., p. 4);
- "the claimants have not provided any evidence to support their allegations, and the Company has consistently maintained that it has acted in accordance with the law and the contractual obligations" (v. nota cit., p. 4);
- "the Company has always been transparent in its operations and has provided all necessary information to the claimants regarding the use of the devices and the data collected" (v. nota cit., p. 4);
- "the claimants' assertions regarding the alleged violations are unfounded and lack any factual basis" (v. nota cit., p. 4);
- "the Company is committed to protecting the privacy of its employees and has implemented appropriate measures to ensure compliance with data protection regulations" (v. nota cit., p. 4);
- "the Company requests that the claims be dismissed in their entirety, as they are without merit" (v. nota cit., p. 4).

On October 14, 2022, the Office notified the Company of the alleged violations of the Regulation found, with reference to Articles 12 and 15 of the Regulation, pursuant to Article 166, paragraph 5, of the Code.

With the defensive writings sent on November 11, 2022, the Company stated that:

- "the Company highlighted that the routes taken by the workers are not subject to any verification by technological tools, as the terminals provided are used solely for the purpose of conducting readings and meter readings (gas and energy); the purpose of such use is also related to the specific requests of the client (who requests Shardana to verify the exact location of the readings, in order to 'prevent' irregularities and/or anomalies in the detected data)" (v. nota 11.11.2022 cit., p. 2);
- "the alleged violations concerned 3 workers and for the following periods: 1 year and 8 months [...]; 1 year [...] and 9 months [...]. The Company has promptly responded to the claimants' requests [...]. Regarding geolocation, there has been no violation of the claimants' data, as the provided devices do not provide any detection of movements and routes taken, nor of the related breaks/rests. Such

devices (GPS) are provided solely to allow workers to make a correct and automatic reading of the gas and energy meter data, in compliance with the client's requests" (v. nota cit., p. 3);

- "there is no fraudulent conduct by the Company. Any (and not believed) violations/irregularities are (if anything) attributable to mere negligence, as the Company has always acted in total good faith" (v. nota cit., p. 3);

- "the use of the devices has been limited to the moment of the meter reading by the worker, who: decides independently when to turn on/off the terminal; is not subject to any form of remote control (nor is required to keep the aforementioned device active during their movements: for example, from their home to the reading location and/or during the routes between different reading locations)" (v. nota cit., p. 3, 4);

- "Shardana has adopted technical and organizational measures aimed at minimizing the data collected. Workers have been provided with specific policies for the management and use of GPS terminals. This documentation, along with privacy notices, has been promptly sent to the claimants. Furthermore, [...] the [...] terminals provided do not collect any data regarding the movements made by workers during their work presentation. In fact, they remain active only at the time of reading the meters, in order to ensure certainty and correctness of the actual consumption" (v. nota cit., p. 4);

- "during the present proceedings, Shardana has promptly provided the documentation in its possession [...], complying (albeit partially and as far as possible) with the requests of the claimants" (v. nota cit., p. 4);

- "in this case, no violation of the data referred to in Article 9 GDPR has been found [...]. Similarly, there has been no unlawful processing of the data referred to in Article 10 of the GDPR" (v. nota cit., p. 4);

- "the circumstances subject to verification have been brought to the attention of the Supervisory Authority, in light of the alleged violations reported by the claimants, and the necessary measures have been taken to ensure compliance with the applicable regulations" (v. nota cit., p. 4).
of the interested party, the copy of the personal data is provided in electronic form."

2.2. Conclusions.

Based on the findings of the investigation and the applicable legal framework, it is concluded that the Company, in its capacity as data controller, has failed to comply with the regulations regarding the exercise of the right of access recognized to the data subject by the Regulation (Article 15), by not providing an adequate response to the requests made by the claimants.

3. Sanctions and Measures.

3.1. Sanctions.

In light of the violations identified, the Authority may impose administrative fines in accordance with Article 83 of the Regulation, which establishes the conditions under which fines may be imposed, taking into account the nature, gravity, and duration of the infringement, as well as any mitigating or aggravating factors.

3.2. Recommendations.

The Authority recommends that the Company take immediate corrective actions to ensure compliance with the data protection regulations, including but not limited to:

- Implementing appropriate procedures to handle requests for access to personal data effectively and within the timeframes established by the Regulation.
- Providing training to employees on data protection rights and obligations to prevent future non-compliance.
- Reviewing and updating privacy policies and practices to ensure transparency and clarity in communications with data subjects.

4. Final Remarks.

The Company is advised to take these findings seriously and to act promptly to rectify the identified issues. Failure to comply with the recommendations may lead to further enforcement actions by the Authority.

This document is issued in accordance with the applicable laws and regulations governing data

protection and privacy.

Date: [Insert Date]

Authority: [Insert Authority Name]

from the data subject, the information is provided in a common electronic format” (par. 3).

The Guidelines 01/2022 on data subject rights – Right of access, EDPB, March 28, 2023, clarify that

“Access to personal data hereby means access to the actual personal data themselves, not only a general description of the data nor a mere reference to the categories of personal data processed by the controller. If no limits or restrictions apply, data subjects are entitled to have access to all data processed relating to them, or to parts of the data, depending on the scope of the request” (par. 2.2.1.2., point 19, unofficial translation “Access to personal data means access to the actual personal data, not just a general description of the data, nor a mere reference to the categories of personal data processed by the controller. Data subjects have the right to access all data processed concerning them, or to parts of it, depending on the subject of the request”).

2.2. Established Violations.

In substance, it has emerged that the Company did not provide an adequate response to the access request pursuant to Article 15 of the Regulation submitted by two of the complainants on November 22, 2019, and January 23, 2020.

Indeed, although on December 3, 2019, and March 25, 2020, the Company provided responses to the requests submitted, communicating to the data subjects limited information regarding the processing in question, including the sending of some documents, it is not considered that, for this reason alone, the conduct of the Company is in compliance with Articles 12 and 15 of the Regulation.

In this regard, it is necessary to examine in detail the response and the attached documentation. This is because it cannot be considered sufficient, to comply with the aforementioned norms, to provide a response if the latter is found to have insufficient content.

In particular, it has emerged that the Company did not fully provide what was requested through the complainants' requests, nor is it believed that the documents provided by the Company contained the information in a comprehensive manner, despite the clarity and detail of the requests.

The complainants, in fact, submitted a request for access to data related to the processing carried out by the Company in order to calculate working hours and mileage reimbursements, particularly regarding the

processing carried out through a “terminal” provided by the Company (smartphone).

However, in formally responding to the requests, the Company did not communicate the specific data related to the complainants processed, among other things, through geolocation on the terminal provided to them in the context of their work performance, nor all the information requested by the complainants regarding the processing of the aforementioned data; it limited itself, in fact, to indicating the methods and purposes of the processing of data related to geolocation.

This, despite Article 12 par. 3 of the Regulation providing that the data controller must provide the data subject exercising one of the rights recognized by the Regulation with the information requested by them.

The Company, therefore, within the limits of the data retained, should have provided the complainants with the data related to the specific readings/geographical coordinates obtained with the GPS of the smartphone activated by the workers near the meter for reading the same.

In this regard, it is recalled that the right granted to the data subject to access their data subject to processing as well as the information provided for by Article 15 of the Regulation, in application of the principles of transparency and fairness (Article 5, par. 1, lett. a) of the Regulation), cannot be considered satisfied through mere reference to what is contained in the information on data processing referred to in Articles 13 and 14 of the Regulation, without any reference to the processing carried out in concrete terms.

The right of access and the right to receive the so-called information, although related, are, in fact, different rights, enshrined in distinct provisions of the legal framework, responding to needs for the protection and guarantee of the data subject that are not completely overlapping.

As recently clarified also by the Guidelines 01/2022 on data subject rights – Right of access, EDPB, March 28, 2023, in responding to the access request, the controller must adapt, to the specific condition of the data subject, what is indicated in necessarily general terms in the information (or in the register of processing activities).

Therefore, all the information provided in the information notice, in the communication to the data subject pursuant to Article 15 of the Regulation, must be verified and tailored in light of the concrete processing operations carried out with respect to the requester (see Guidelines 01/2022 cited, point 112 et seq.; in general see par. 113

“In the context of an access request under Art. 15, any information on the processing available to the controller may therefore have to be updated and tailored for the processing operations actually carried out with regard to the data subject making the request. Thus, referring to the wording of its privacy policy would not be a sufficient way for the controller to give information required by Art. 15(1)(a) to (h) and (2) unless the «tailored and updated» information is the same as the information provided at the beginning of the processing”, (unofficial translation: “In the context of the communication of the information referred to in Article 15, all the information on the processing available to the data controller must therefore be updated and adapted to the processing operations”).

accesso, avrebbe dovuto fornire almeno una risposta parziale, specificando le ragioni per cui non era in grado di fornire tutte le informazioni richieste. Invece, la Società ha ommesso di fornire qualsiasi risposta adeguata, il che costituisce una violazione dei diritti degli interessati.

In conclusione, si evidenzia che la Società ha trattato dati personali dei reclamanti senza rispettare le disposizioni di legge in materia di protezione dei dati, in particolare per quanto riguarda il diritto di accesso. Pertanto, si richiede che la Società adotti misure correttive immediate per garantire il rispetto delle normative vigenti e per fornire ai reclamanti l'accesso completo ai dati personali che li riguardano, inclusi quelli relativi alla geolocalizzazione, come previsto dagli articoli 12 e 15 del Regolamento.

****Access**** should have explicitly indicated, contrary to what it did, in the response to the interested parties, in accordance with Article 12, paragraph 4 of the Regulation, at least the specific reasons why it could not (possibly) satisfy those specific access requests, along with the clarification of the possibility to file a complaint with the Authority or to seek judicial review (cf. Article 12, paragraph 4 of the Regulation).

****3. Conclusions: Declaration of Illegality of the Processing. Corrective Measures pursuant to Article 58, paragraph 2, Regulation.****

For the reasons stated above, the Authority believes that the statements, documentation, and reconstructions provided by the data controller during the investigation do not allow for overcoming the observations notified by the Office with the initiation of the proceedings and are therefore unsuitable to allow for the closure of the present proceedings, as none of the cases provided for by Article 11 of the Garante Regulation No. 1/2019 apply. The conduct carried out by the Company, which consisted of providing an inadequate response to the access requests submitted by the complainants, is indeed illegal, as stated above, in relation to Articles 12 and 15 of the Regulation. The violation, established as outlined in the reasoning, cannot be considered "minor," taking into account the nature, severity, and duration of the violation itself, the degree of responsibility, and the manner in which the supervisory authority became aware of the violation (cf. 148 of the Regulation).

Therefore, in light of the corrective powers attributed by Article 58, paragraph 2 of the Regulation, in light of the specific case:

- the Company is ordered to satisfy the access requests of the complainants, as formulated on November 22, 2019, and January 23, 2020 (Article 58, paragraph 2, letter c), Regulation), providing the complainants with the data relating to them as well as the information expressly requested in the complainants' requests, excluding what has already been limitedly indicated on December 3, 2019, and March 25, 2020;
- an administrative pecuniary sanction is imposed pursuant to Article 83 of the Regulation, commensurate with the circumstances of the specific case (Article 58, paragraph 2, letter i) Regulation).

****4. Adoption of the injunction order for the application of the administrative pecuniary sanction and**

accessory sanctions (Articles 58, paragraph 2, letter i), and 83 of the Regulation; Article 166, paragraph 7, of the Code).**

As a result of the proceedings, it is found that Shardana Working Società Coop. a r.l. has violated Articles 12 and 15 of the Regulation. For the violation of the aforementioned provisions, the application of the administrative pecuniary sanction provided for by Article 83, paragraph 5, letter b) of the Regulation is foreseen, through the adoption of an injunction order (Article 18, Law 24.11.1981, No. 689).

It is deemed necessary to apply paragraph 3 of Article 83 of the Regulation, which states that "If, in relation to the same processing or related processing, a data controller [...] violates, with intent or negligence, various provisions of this regulation, the total amount of the administrative pecuniary sanction shall not exceed the amount specified for the most serious violation," the total amount of the sanction is calculated so as not to exceed the maximum penalty provided for by the same Article 83, paragraph 5.

With reference to the elements listed in Article 83, paragraph 2 of the Regulation for the application of the administrative pecuniary sanction and its quantification, considering that the sanction must "in any case [be] effective, proportionate, and dissuasive" (Article 83, paragraph 1 of the Regulation), it is noted that, in this case, the following circumstances have been considered:

- a) in relation to the nature, severity, and duration of the violation, the nature of the violation concerning the exercise of the rights of the interested party has been considered, as well as the duration of the violation itself, since the data controller did not provide an adequate response even after the intervention of the Authority; the number of interested parties, which is three, has also been evaluated;
- b) with reference to the intentional or negligent nature of the violation and the degree of responsibility of the controller, the persistent lack of an adequate response to the requests for the exercise of the right of access has been taken into account;
- c) in favor of the controller, the absence of previous relevant violations committed by the Company has been considered.

It is also believed that the economic conditions of the offender, determined based on the revenues obtained by the Company with reference to the abbreviated financial statements for the year 2021, are relevant in this case, considering the aforementioned principles of effectiveness, proportionality, and dissuasiveness to which the Authority must adhere in determining the amount of the sanction (Article 83, paragraph 1, of the Regulation). Lastly, the amount of sanctions imposed in similar cases is taken into account.

In light of the above elements and the evaluations made, it is deemed appropriate, in this case, to apply to Shardana Working Soc. Coop. a r.l. the administrative sanction of payment of an amount equal to €20,000.00 (twenty thousand).

In this context, it is also deemed appropriate, considering the type of violations established that concerned the exercise of the rights of the interested party, that pursuant to Article 166, paragraph 7, of the Code and Article 16, paragraph 1, of the Garante Regulation No. 1/2019, the publication of this provision on the Garante's website should be carried out.

It is also considered that the prerequisites of Article 17 of Regulation No. 1/2019 are met.

ALL OF THE ABOVE CONSIDERED, THE GUARANTOR

notes the illegality of the processing carried out by Shardana Working Soc. Coop. a r.l., with registered office at Via Vincenzo Monti, 8, Milan, VAT number 03622090920, pursuant to Article 143 of the Code, for the violation of Articles 12 and 15 of the Regulation;

ORDERS

pursuant to Article 58, paragraph 2, letter c) of the Regulation, Shardana Working Soc. Coop. a r.l. to comply with the request of the data subjects regarding access to the information and data indicated in Article 15 of the Regulation, within the terms specified in the reasoning, within 60 days from the receipt of this provision;

ORDERS

pursuant to Article 58, paragraph 2, letter i) of the Regulation, Shardana Working Soc. Coop. a r.l. to

pay the sum of €20,000.00 (twenty thousand) as an administrative pecuniary sanction for the violations indicated in this provision;

ORDERS

therefore Shardana Working Soc. Coop. a r.l. to pay the aforementioned sum of €20,000.00 (twenty thousand), according to the methods indicated in the annex, within 30 days from the notification of this provision, under penalty of the adoption of the consequent executive acts pursuant to Article 27 of Law No. 689/1981. It is reminded that the offender retains the option to settle the dispute by paying - always according to the methods indicated in the annex - an amount equal to half of the imposed sanction, within the term provided for the submission of the appeal as indicated below (Article 166, paragraph 8, of the Code);

ORDERS

the publication of this provision on the Guarantor's website pursuant to Article 166, paragraph 7, of the Code and Article 16, paragraph 1, of the Guarantor Regulation No. 1/20129, and considers that the prerequisites of Article 17 of Regulation No. 1/2019 are met.

Requests Shardana Working Soc. Coop. a r.l. to communicate what initiatives have been undertaken in order to implement the provisions of this provision and to provide adequately documented feedback pursuant to Article 157 of the Code, within the term of 90 days from the date of notification of this provision; any failure to respond may result in the application of the administrative sanction provided for in Article 83, paragraph 5, letter e) of the Regulation.

Pursuant to Article 78 of the Regulation, as well as Articles 152 of the Code and 10 of Legislative Decree No. 150/2011, an appeal against this provision may be filed with the ordinary judicial authority, with a petition submitted to the ordinary court of the place identified in the same Article 10, within thirty days from the date of communication of the provision itself, or sixty days if the appellant resides abroad.

Rome, September 14, 2023

THE VICE PRESIDENT

Cerrina Feroni

THE REPORTER

Cerrina Feroni

THE DEPUTY SECRETARY GENERAL

Filippi